



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

PURPOSE

This policy governs the use of Intercompany Payment and Funding Transactions ("ICF"). Hilton Worldwide ("Hilton") employs ICFs to efficiently manage global liquidity and intercompany financial operations. Hilton team members engaged in the management of ICFs on behalf of Hilton or any other groups named herein must follow the guidelines outlined in this document.

POLICY SUMMARY

Hilton has established a policy and process to ensure consistency, appropriateness, and standardization in its approach to dealing with ICFs. The policy seeks to ensure best practice by maximizing economic value, financial control, process efficiency and visibility to financial data, in a manner consistent with the various requirements of various international tax and banking jurisdictions and Hilton's own Corporate Loan Agreements.

Treasury is responsible for managing Hilton's global portfolio of ICFs and for defining and enforcing the standards in this policy. Hilton team members worldwide are responsible for supporting that effort through compliance with this policy and are required to read and comply with all applicable policies. Any questions related to the information contained within a policy, or to any other related topics, should be directed to Treasury's Liquidity and Capital Markets team.

BACKGROUND / SCOPE

Hilton manages global liquidity positions and intercompany commercial and financial obligations across hundreds of legal entities in many countries and currencies.

Hilton policies must be reviewed, maintained and made available to all applicable team members to promote compliance and accountability.

APPLICABILITY

This policy applies to all Hilton team members worldwide engaged in ICFs on behalf of Hilton, including all corporate entities and any owned and leased properties.

EXCLUSIONS / EXCEPTIONS

No exclusions

POLICY DETAILS

A. Policy Objectives	Hilton shall employ various means of ICFs to concentrate and avoid internal transfers of cash, thereby enhancing the efficiency of global liquidity management and reducing operational costs and risk. Hilton shall employ such means whenever possible, to concentrate global liquidity to avoid the creation of FX Transaction Risk (see <i>Global Foreign Exchange Risk Management Policy</i> (FP-FIN-205), subject to various constraints, including: (a) Hilton's Corporate Loan Agreements, (b) local capital and regulatory restrictions and (c) tax considerations.
B. ICF Types	All new Hilton ICFs must be structured as one of the following: ▪ In-House Bank ("IHB") Account – An IHB Account is a short-term liquidity management and cash operations facility, offered by a designated IHB Provider to multiple IHB Participants. IHB Accounts are the default vehicle for ICFs, wherever permissible. An IHB Account is a functional proxy for a real bank account and may be used to settle payments and receipts and to manage



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

short-term surplus and deficit liquidity positions. Therefore, the principal balance and direction (asset vs. liability) of an IHB Account may change frequently with settlement of IHB Transactions (see Section C). Interest rates typically reset monthly and interest is typically applied at month-end based on each day's net deposit or overdraft position. IHB Accounts are used for temporary liquidity management purposes and are expected to be repaid, in whole or in part. Therefore, they are deemed short-term in nature (See section E for key IHB terms). Also, see *Cash & Cash Equivalents and Restricted Cash Accounting Policy* (FP-FIN-008) for further considerations related to negative cash positions.

- **Short-Term Note ("STN")** – An STN is a bilateral contract between a Hilton borrower and lender that is *expected to be repaid*. STNs are to be used only when an IHB Account is not permissible or not appropriate. An STN has a defined notional amount and maturity date, typically of one year or less. The interest rate on an STN is typically fixed. STNs may be rolled over, in whole or in part, at maturity, but are expected to be repaid at some point and, therefore, are deemed to be short-term in nature (See section E for key STN terms).
- **Long-Term Note ("LTN")** – An LTN is a bilateral contract between a Hilton borrower and lender for which the principal is *not expected to be repaid in the foreseeable future*. LTNs represent a long-term commitment by the lending entity in the borrowing entity and are to be used only when there is no expectation of repayment of principal in the foreseeable future. An LTN must have a defined notional amount and a maturity date, typically greater than one year after issue, although the LTN may be rolled over upon maturity. An LTN may have either a fixed or floating rate. Execution of an LTN represents a long-term commitment in the borrowing entity. Therefore, it is only allowed under special circumstances and subject to joint approval by the SVPs from Treasury, Tax and Accounting (see Section F).

C. IHB Transaction Types

Hilton's IHB Accounts can be used to settle the following IHB Transaction Types:

- **IHB Deposit** – a contribution of cash by an IHB Participant to its IHB Provider, in exchange for an increase to its IHB Account
- **IHB Withdrawal** – a disbursement of cash by an IHB Provider to one of its IHB Participants, in exchange for a decrease to the participant's IHB Account
- **IHB Payment** – a cashless settlement of an obligation between two IHB Participants via debit/credit to their respective IHB Accounts, which may or may not be held with the same IHB Provider
- **Cash Payment on Behalf** – a cash disbursement by an IHB Provider to a third-party on behalf of an IHB Participant, in exchange for a decrease to the participant's IHB Account
- **Cash Receipt on Behalf** – a cash receipt by an IHB Provider from a third-party for the benefit of an IHB Participant, in exchange for an increase to the participant's IHB Account
- **IHB FX Transaction** – a settlement associated with an FX Transaction (ie, spot, forward, swap or option) between an IHB Participant and either an IHB Provider or another IHB Participant; subject to *Global Foreign Exchange Risk Management Policy* (FP-FIN-205)
- **Intercompany Term Note** – a principal and/or interest settlement associated with an Intercompany Term Note between an IHB Participant and either an IHB Provider or another IHB Participant

D. ICF Payment Methods

IHB Payments (i.e., cashless) shall be the default payment method for settling intercompany obligations whenever possible (i.e., when payer and receiver both hold IHB Accounts). For example, cashless movements for ICF payables and receivables between two Hilton entities to settle obligations (RSP settlements between a Corporate Area Office and entity that generates the corporate expense).



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

Cash Payments/Receipts on Behalf shall be used for settling intercompany obligations when only one party holds an IHB Account, providing that such payment method is permissible by local law and Hilton's loan agreement. For example, cash payments of Key Money into foreign jurisdictions by the IHB Provider ("UK FinCo").

In either case, payments must be executed directly in the Treasury System, or in PeopleSoft and then recorded in the Treasury System. **All such payments impacting IHB Accounts, however, must be reflected in the Treasury System as of the same value date, or at a date within the same reporting period, that the transaction occurred.**

E. ICF Terms

Liquidity and Capital Markets team will work with Operations Finance, Tax, Accounting and Legal to establish the following terms to establish or modify IHBs and STNs as appropriate to the specific entity. Also see Section L: **"Requesting and ICF"**

Hilton corporate entities will execute IHBs and STNs through Services Agreements, describing the terms agreed upon, expressed in this section below.

IHB Account Terms

- **IHB Provider / Participant**
 - a. IHB Account Provider. Hilton will use Hilton Worldwide FS Treasury ("UK FinCo") for Hilton foreign entities or Hilton Worldwide Domestic FS Treasury ("US FinCo") for U.S. entities, whenever practicable
 - b. IHB Account Participant (Hilton entity)
- **Effective Date**
 - a. Executed date of services agreement
- **Maturity Date**
 - a. IHB accounts will mature on the final date of the first year executed (i.e., execution date 10/31/2022; maturity date 12/31/2022)
 - 1. Subject to early termination (pending several clauses)
 - b. Thereafter, an IHB agreement will be automatically renewed for additional periods of 1-year
 - 1. Subject to mutual termination by both parties
- **Facility Currency**
 - a. Denominate currency in functional currency of IHB Account
 - 1. This allows FX risk to be pooled at IHB provider, usually UK FinCo (See section H: **"Transaction Currency"**)
- **Overdraft Limit**
 - a. Projected deposit / borrowing levels based on IHB Account forecast
- **Interest Rate**
 - a. Interest rate will be determined by an Index Rate plus a Spread. Also see Section J: **"Interest"**.
 - 1. Index Rate – The market reference rate used based on functional currency country and term.
 - 1. IHBs carry a rate based on the country (e.g. SOFR)
 - 2. Overdraft / Deposit Spread – The amount deducted / added to the applicable market Index Rate based on terms of lender / borrower market
 - 1. Spreads are inclusive of the risk profile for IHB Account
 - b. Interest will be accrued and paid in cash / non-cash (with direction from ICF stakeholders) based on executed Services Agreement
 - 1. Interest is recorded in the Treasury Management System and where it can be instructed to pay cash / non-cash and be recorded to capitalize, pay bullet or periodically
- **Date Basis**
 - a. For interest calculation purposes based on country of origin standard calculation



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

1. Date basis is set to calculate interest for the country currency for of the transaction (e.g. United States – Actual / 360)

- **Withholding Tax**

- a. Withholding Taxes on interest may be applicable based on jurisdiction of the IHB Provider / IHB Account . Direction should be sought from Hilton Tax on the applicable withholding tax rate, if any.

Note: In the case that an IHB Account Participant has excess cash that it no longer needs in the near future, the local Operations Finance team should request an ICF for returning the cash to Hilton's IHB Account Providers. Hilton Treasury will also monitor cash in various countries around the world and may request assistance from Operations Finance, Tax, Accounting and Legal for preparing an ICF to move the liquidity to the IHB Account Providers.

STN Terms

- **Participant Entities**

- a. Lender (Hilton entity)
- b. Borrower (Hilton entity)

- **Effective Date**

- a. Executed date of loan agreement

- **Maturity Date**

- a. STNs are structured with a maturity date that aligns to expected repayment timing

- **Note Currency**

- a. Currency is subject to nature of transaction and review from Hilton Corporate Treasury, Tax, Accounting and Legal review
 - 1. Transaction currency is usually structured to match the entity borrowing the asset
- b. See section H: “**Transaction Currency**”

- **Notional Amount**

- a. Notional amount is based on nature of lending and borrowing relationship of transaction

- **Interest Rate**

- a. Interest rate will be determined by an Index Rate plus a Spread
 - 1. Index Rate – The market reference rate used based on functional currency of the country and term. Also see Section J.
 - I. STNs carry an interest rate based on country and term (e.g., US Government 5-year Treasury)
 - 2. Spread – The amount deducted / added to the applicable market Index Rate
 - I. Spreads are inclusive of the risk profile for the IHB Participant

- **Date Basis**

- a. For interest calculation purposes based on country currency of facility
 - 1. Date basis is set to calculate interest for the country currency of the transaction (e.g. United States – Actual / 360)

- **Withholding Tax**

- a. Withholding Taxes on interest may be applicable based on jurisdiction of the borrower and/or lender. Direction should be sought from Hilton Tax on the applicable withholding tax rate, if any.

F. Cross-Currency Accounting Designation

The following designations are applicable only to cross-currency ICF transactions (ie, those where the transaction currency differs from the functional currency of either or both parties to the transaction).

- **Short-Term Designation** shall be applied to all IHB Accounts (without exception) and to all Intercompany Term Notes (by default, except as designated below). ICFs designated as Short-Term shall be included in Hilton's FX Risk Management program by Treasury and may be subject



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

to hedging, as appropriate, per *Global Foreign Exchange Risk Management Policy* (FP-FIN-205). Any FX revaluation of In-House Bank Accounts and Short-Term Notes, and their offsetting FX hedges, shall be reflected in the net income of the legal entity owning the transaction.

- **Long-Term Designation** shall apply only to specific Intercompany Term Notes designated and documented as *long-term commitments*. Long-Term transactions shall not be included in Hilton's FX Risk Management program by Treasury and shall not be subject to hedging per *Global Foreign Exchange Risk Management Policy* (FP-FIN-205). Any FX revaluation on Long-Term Notes shall be reflected in the equity (Cumulative Translation Adjustment) of the legal entity recording the transaction.

G. Long-Term Designation Process

Designation of an Intercompany Term Note as a *long-term commitment* exposes the company to significant risks, including possible addition of material costs to later repatriate funds and exposure to (unhedged) FX translation risk and audit risk associated with any unplanned repayment.

Therefore, Long-Term designation shall only be applied selectively to Intercompany Term Notes with joint approval from SVPs of Treasury, Tax and Accounting (see K), certifying that:

- *The transaction reflects a long-term commitment in the borrower by the lender.*
- *Management does not plan or expect to repay principal, wholly or in part, within the foreseeable future.*
- *Management is able to exercise control over whether or not said note is repaid. (ie, Repayment is not contingent on an event or third-party decision.)*

Long-Term designation shall not be applied under any circumstances to IHB Accounts, for which principal may change over time.

H. Transaction Currency

For all primary IHB Accounts¹, the Transaction Currency shall be the Functional Currency of the IHB Participant, with the objective of concentrating and resulting FX risk at the IHB Provider.

For all same-currency Intercompany Term Notes (ie, those between two entities with the same functional currency), the Transaction Currency shall be the Functional Currency of the two entities.

For all cross-currency Intercompany Term Notes (ie, those between two entities with different functional currencies), the Transaction Currency shall be determined by Treasury, with the objective of concentrating FX risk in as few entities as possible and where the risk can be most effectively managed, usually UK FinCo

I. Documents

All Intercompany Funding instruments shall be documents using standard Hilton agreements.

- All STNs and LTNs shall be documented using the *Hilton Intercompany Term Note Agreement* form. (To be provided)
- All IHB Accounts shall be documented using the *Hilton In-House Bank Account Agreement* form. (To be provided)

J. Interest

All Intercompany Funding instruments shall be interest-bearing, unless otherwise specified in the applicable agreement. Interest shall be determined based on arm's length, market terms, applicable to the currency, tenor and direction of the transaction. Interest rates may be fixed or floating (eg, indexed to SOFR or a similar reference rate). Interest shall be calculated and determined by Treasury using standard market convention applicable to the currency.

¹ Certain entities may also hold secondary IHB Accounts in non-functional currencies.



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

K. Approvals	The following events require <i>joint approval</i> of SVPs from Treasury, Tax and Accounting. ▪ Establishment of a new LTN, or any subsequent increase in principal, or any extension of maturity, or any repayment or prepayment of principal ▪ Establishment of a new STN or IHB Account, or subsequent increase in notional and/or maturity, that exceed USD 20 million notional/overdraft limit and/or one year in maturity/term ▪ Any prepayment of principal of a STN The following events require <i>joint approval</i> of VPs from Treasury, Tax and Accounting. ▪ Establishment of a new STN or IHB Account, or subsequent increase in notional and/or maturity, not exceeding USD 20 million notional/overdraft limit and/or one year in maturity/term ▪ Any prepayment of principal of an STN The following events require <i>approval</i> of a Director of Treasury. ▪ Any cash withdrawal against an existing IHB Account, subject to approved limits* ○ Director of Regional Treasury coordinates approval with SVP of appropriate region (e.g. Operations Finance) ▪ Any settlement of any FX transaction, Intercompany Term Note or other Treasury transaction against an IHB Account, subject to approved limits* The following events do not require approval. ▪ Any scheduled payment of principal of an STN ▪ Any scheduled payment of interest of an STN, LTN or IHB Account ▪ Any deposit of cash to an existing IHB Account ▪ Any debit or credit against an existing IHB Account in settlement of an intercompany or other payment, subject to approved limits* (*) Treasury shall monitor IHB Account Limits at least monthly and note any expected future overdraft limit violations and initiate discussion with appropriate parties to consider remediation.
--------------	--

PROCESS FLOWS / REPORTING

L. Requesting an ICF	New ICF requests will usually come from Regional Operation Finance teams, but could also be generated from Real Estate Asset Management, Development, Accounting, Treasury or any other team that has a need to access Hilton's liquidity and/or transfer excess liquidity to the IHB Account Providers (see <i>Global Cash Management Policy (FP-FIN-200)</i>). If Treasury sees excessive liquidity residing outside of established IHB Account Provider purview, it may reach out to regional teams to execute ICF and consolidate liquidity. When submitting a request, the requestor should prepare, at a minimum: ▪ Size of the funding needed ▪ Purpose of the funding ▪ Date & entity ▪ Is the funding temporary or permanent? ▪ Projected future cash flows and/or funding needs for the requested entity The requestor should prepare the request for Liquidity and Capital Markets team. The following internal stakeholders will need to be involved in a new Intercompany Transactions: Treasury / Tax / Accounting / Legal
----------------------	--



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

All ICFs vary in complexity. Please make sure to give ample time for all stakeholders to review your request. Suggested lead time below in Section M:

M. Timeline for ICF Request

1-3 Weeks

- **Extension** – ICFs can be extended if repayment is not available and interest to be capitalized on a loan or paid at time of extension
- **Repayment** – In the case a borrower has cash flow to repay funds, based on standard agreements it may prepay the principal and accrued interest at any time. This may be different in select cases based on specialized loan agreement.
- **Borrowing (Intercompany Instrument is already Active)** – The borrower may borrow on an existing loan if already in operation
- **Deposits** – Borrower will deposit funds to its IHB provider, in exchange for an increase to its IHB Account
- **Modification of Agreements** – Borrower and Lender may enter into loan modifications to amend terms (i.e. interest rate such as LIBOR to SOFR)

Generally, relationships between US / UK entities have precedent transactions and therefore can be structured and executed quickly by ICF stakeholders.

3-5 Weeks

- **Borrowing** – New borrowing relationship requests include diligence on local jurisdiction, regulations of currency, etc.
- **Modifications of Entities** – Borrower and Lender may enter into entity modifications (i.e., entity registered as LLP restated to LLC)
- **Distribution of Debt / Equity** – Entities may distribute debt / equity for capitalization, reserves, or statutory requirements. Note that longer lead times may be needed based on operational needs and / or process.

New transactions require higher level of due diligence that can be impacted by local legal restrictions, types of jurisdictions and entity structures. Please allow sufficient time to process ICF transaction by stakeholders.

Longer Dated Process

- **Corporate Restructure** – Hilton may restructure entity groups through the organizational structure in creation / liquidation of entities
- **Company Realignment** – Hilton entities may go through realignment such as a merger / acquisition, divestiture, and joint ventures

These transactions are generally more complex by nature and therefore will require higher level of involvement by ICF stakeholders.



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

- N. ICF Reporting** ICF reports shall be prepared and distributed to the Treasurer (and available to Accounting, Legal, Tax, Operations Finance and other Team Members) at least monthly and shall include:
- **ICF Portfolio**
 - Monthly reporting of Hilton's ICF portfolio. The reporting includes position summaries, summary of ICF exposures and period changes and summary of approved ICF transaction:
 - **Intercompany Balances by Entity** – All relationships of ICF balances by Hilton entity
 - **Intercompany Balances by Loan Instrument** – All ICF balances by specific loan instrument (designated transaction currency and functional currencies of each Hilton entity)
 - **Net positions by Segment and Instrument** – ICF balances by segment debt instruments
 - **Asset / Liability Matrix by Segment** – ICF balances by segment relationships. Segments include OpCo Parent, US OpCo, DF OpCo Non-CRA and DF OpCo CRA
 - **ICF Master**
 - Monthly reporting of Hilton's ICF portfolio. Reporting includes position summaries, summary of ICF exposures and period changes and summary of approved ICF transactions (similar to above):
 - Identification of specific entity foreign exchange exposures at Hilton
 - Evaluation of Value at Risk
 - Impact on Earnings Per Share ("EPS")

DEFINITIONS

Term / Acronym	Definition
ICF	An Intercompany Term Note or IHB Account, or any associated transaction (eg, an IHB Transaction)
Intercompany Term Note	A certain type of ICF as defined in Section C
IHB Account	A certain type of ICF as defined in Section B
IHB Transaction	Any settlement of the types listed in Section C, affecting the balance of an IHB Account
IHB Provider	A Hilton legal entity acting as In-House Bank by providing IHB Accounts and settlement of IHB Transactions to multiple IHB Participants
IHB Participant	One of a group of Hilton legal entities utilizing the IHB Accounts and IHB Transaction services of a given IHB Provider
Functional Currency	The currency in which a given entity records its financial statements. (ref. FASB ASC 830 (<i>Foreign Currency Matters</i>))
Transaction Currency	The currency in which a given transaction is denominated.

Commented [AG1]: I would be consistent if we are doing definitions as abbreviations or spelled out



Global Intercompany Payments and Funding Policy

Policy Number: FP-FIN-201
Department Sponsor: Treasury
Last Updated: 11/30/2022

ROLES AND RESPONSIBILITIES

Entity / Personnel	Responsibilities
Treasury	- Monitoring global ICFs and identifying need for new Intercompany Funding Transactions, with input from Tax and Accounting where appropriate - Monitoring of IHB Account Limits; defining and pursuing remediation plans in conjunction with Tax and Accounting - Providing approvals for ICFs (see Section K) - Executing and recording all ICFs globally; ensuring completeness, accuracy and timeliness of ICFs data and providing data to Tax and Accounting as required - Managing any FX transaction associated with Intercompany Funding Transactions, per <i>Global Foreign Exchange Risk Management Policy</i> (FP-FIN-205) - Managing any Cash transaction associated with Intercompany Funding Transactions, per <i>Global Cash Management Policy</i> (FP-FIN-200)
Tax	- Identifying Tax needs for new ICFs and coordinating with Treasury to execute - Managing any Tax issues associated with Intercompany Funding Transactions
Accounting	- Ensuring compliance with FASB ASC 830 (<i>Foreign Currency Matters</i>) with regard to application of Long-Term designation - Journalizing entries for ICFs based on data provided by Treasury
Operations Finance	- Communicating any expected needs for ICFs to Treasury, Tax and Accounting, as appropriate, in a timely manner - Ensuring that no form of ICF funding or payment vehicles are executed among Hilton entities outside of the policy, process and authorizations defined here

RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
<i>Global Cash Management Policy</i> (FP-FIN-200)	Click Here
<i>Global FX Risk Management Policy</i> (FP-FIN-205)	Click Here
<i>Cash & Cash Equivalents and Restricted Cash Accounting Policy</i> (FP-FIN-008)	Click Here